

ACME Mutual Insurance

Comprehensive Motor Vehicle Insurance Policy - Test Document for AI Copilot / RAG Evaluation

Policy Document ID: ACME-MOTOR-2026-TEST-001

Important: This PDF is a synthetic training and testing document. It is not a real insurance contract and must not be used for legal, financial, regulatory, or customer advice. It is designed for testing document ingestion, chunking, embedding, vector search, RAG, source citation, policy Q&A, missing document detection, and claim workflow prototypes.

Field	Value
Insurer	ACME Mutual Insurance Pty Ltd
Product	Comprehensive Motor Vehicle Insurance
Version	2026.1 - Synthetic Test Version
Effective Date	01 January 2026
Policy Territory	Australia
Currency	AUD
Default Excess	AUD 750 unless stated otherwise
Claims Hotline	1800 000 999
Document Classification	Internal Training / Test Data

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1. Policy Overview

This policy provides comprehensive cover for accidental loss or damage to the insured motor vehicle, subject to the policy schedule, exclusions, excess, limits, and conditions in this document.

The policy is intended to cover private passenger vehicles used for personal, domestic, and limited commuting purposes. Commercial transport, rideshare, courier activity, racing, and unlawful use are excluded unless specifically endorsed in the policy schedule.

1.1 Key Cover Summary

Coverage Area	Included?	Notes
Accidental collision	Yes	Subject to claim evidence and policy conditions
Theft or attempted theft	Yes	Police report required
Fire damage	Yes	Cause must be accidental or malicious by third party
Storm, hail, flood	Yes	Subject to weather event evidence
Malicious damage	Yes	Police report may be required
Personal items inside vehicle	Limited	AUD 500 limit, receipts required
Hire car after theft	Limited	Up to AUD 70 per day for 14 days
Windscreen repair	Yes	One excess-free repair per policy year
Mechanical breakdown	No	Excluded unless caused by covered accident

2. Definitions

Accident: A sudden, unexpected, and unintended event resulting in physical loss or damage to the insured vehicle.

Approved Driver: A person listed in the policy schedule or permitted by the policyholder to drive, provided they hold a valid driver license.

Excess: The amount the policyholder must contribute to a claim before the insurer pays the remaining covered amount.

Market Value: The reasonable cost to replace the vehicle with one of similar make, model, age, condition, and mileage immediately before the loss.

Total Loss: Damage where repair cost plus salvage value exceeds market value, or where the vehicle is stolen and not recovered within 21 days.

Unattended Vehicle: A vehicle without the driver or authorized person present and able to take reasonable steps to protect it.

3. Covered Events

3.1 Collision and Accidental Damage

The policy covers sudden and accidental physical damage to the insured vehicle caused by collision, impact, overturning, or accidental external force. Evidence should support the incident date, location, cause, and extent of damage.

3.2 Theft or Attempted Theft

The policy covers loss or damage resulting from theft or attempted theft. The policyholder must report the incident to police as soon as reasonably possible and provide a police event number or report number.

3.3 Weather Events

The policy covers storm, hail, flood, lightning, and other sudden weather-related damage. The insurer may verify weather data, location, and incident timing using external sources.

3.4 Fire and Malicious Damage

The policy covers fire and malicious damage, provided the policyholder did not intentionally cause or contribute to the loss. Police or fire brigade reports may be required depending on severity.

4. Exclusions

The insurer will not pay for loss, damage, cost, or liability arising from any excluded circumstance below.

- Mechanical, electrical, or structural breakdown not caused by a covered accident.
- Wear and tear, rust, corrosion, depreciation, or gradual deterioration.
- Driving under the influence of alcohol or drugs.
- Use of the vehicle for racing, speed testing, motorsport, rideshare, courier, delivery, or commercial hire unless endorsed.
- Intentional damage caused by the policyholder, listed driver, or a person acting with consent.
- Loss where the driver did not hold a valid license for the class of vehicle.
- Unattended vehicle theft where keys were left inside or reasonable security precautions were not taken.
- Pre-existing damage not related to the claimed event.
- Consequential financial loss, including loss of income, missed appointments, or inconvenience.
- Loss occurring outside Australia unless an extension is stated in the policy schedule.

5. Claim Documentation Requirements

The claim officer should verify that required documents are provided before moving a claim to final assessment. Missing documents should be requested from the customer or third party.

5.1 Required for All Claims

- Completed claim form or digital claim submission
- Policy number and policyholder identity confirmation
- Incident date, time, and location
- Detailed incident description
- Photographs of damage where available
- Driver license details for the driver at the time of incident
- Repair quote or invoice if repairs have been assessed

5.2 Additional Documents by Claim Type

Claim Type	Additional Required Documents
Collision	Third-party details if involved; police report if injury, towing, hit-and-run, or dispute occurred
Theft	Police report number; proof of keys; ownership documents; list of stolen personal items
Fire	Fire brigade report if attended; photographs; repair or total loss assessment
Weather	Photographs; repair quote; weather event confirmation may be obtained by insurer
Malicious Damage	Police report number; photographs; witness details if available
Windscreen	Repair invoice; photograph if replacement rather than repair

5.3 Missing Document Rule

If a required document is missing, the claim should be marked `WAITING_FOR_CUSTOMER` unless the missing document can be obtained directly by the insurer. High-risk missing documents include police reports for theft, malicious damage, hit-and-run, and disputed collision events.

6. Claim Assessment Rules

6.1 Coverage Check

The claim officer must confirm that the policy was active on the incident date, the vehicle matches the insured vehicle, the driver was an approved or permitted driver, and no exclusion applies.

6.2 Excess

The default standard excess is AUD 750. Additional excesses may apply for young drivers, inexperienced drivers, unlisted drivers, or special vehicle conditions. The payable amount is calculated as covered loss minus applicable excess, subject to policy limits.

6.3 Repair vs Total Loss

If estimated repair cost plus salvage value exceeds market value, the vehicle may be assessed as a total loss. The settlement amount is the market value less applicable excess and unpaid premium, subject to finance interests.

6.4 Human Review Requirement

AI-generated summaries, risk indicators, or recommendations are decision-support only. Final approval, rejection, settlement amount, or fraud escalation must be reviewed by an authorized claim officer.

7. Risk and Fraud Indicators

The following indicators do not prove fraud. They indicate that additional review may be required.

- Claim submitted within 7 days of policy inception or coverage increase
- Incident date is unclear, inconsistent, or unsupported by evidence
- Repair invoice appears altered, duplicated, or unusually high
- Multiple recent claims by same policyholder or related parties
- Damage description does not match photographs
- Police report missing for theft, hit-and-run, or malicious damage
- Driver information conflicts with policy schedule
- Claim amount exceeds expected market range for vehicle age and condition
- Customer refuses inspection or delays providing required documents

8. Policy Limits and Excess

Item	Limit / Rule
Standard excess	AUD 750
Young driver excess	Additional AUD 500 if driver under 25
Unlisted driver excess	Additional AUD 1,000 unless waived
Personal items	AUD 500 maximum with proof of ownership
Hire car after theft	AUD 70/day up to 14 days
Emergency transport	AUD 250 maximum
Towing after accident	Reasonable cost to nearest approved repairer
Windscreen repair	One excess-free repair per policy year

9. Customer Duties

- Take reasonable steps to prevent further loss or damage.
- Notify the insurer as soon as reasonably possible after an incident.
- Provide truthful and complete information.
- Do not authorize major repairs without insurer approval, except emergency repairs needed to make the vehicle safe.
- Cooperate with inspection, assessment, investigation, and recovery actions.
- Preserve damaged parts and evidence where practical.

10. Claims Workflow

Step	Status	Description
1	SUBMITTED	Customer submits claim and uploads initial documents
2	DOCUMENT_REVIEW	Documents are checked for completeness and quality
3	AI_ANALYSIS	AI may summarize claim, extract fields, and identify missing information
4	WAITING_FOR_CUSTOMER	Additional required documents or clarifications are requested

5	ASSESSMENT	Claim officer reviews coverage, excess, exclusions, and evidence
6	SENIOR_REVIEW	Required for high-risk, high-value, or low-confidence cases
7	DECISION_PENDING	Final decision and settlement recommendation prepared
8	CLOSED	Claim finalized, withdrawn, declined, or settled

11. Privacy and Data Handling

Claim information may include personal information, vehicle information, identity details, financial information, and sensitive health or injury information. Access must be limited to authorized personnel with a legitimate business purpose.

11.1 AI Processing Rules

- AI services must not be used to make final claim decisions without human review.
- Retrieved claim context must be filtered by tenant ID, claim ID, and user authorization.
- Raw prompts containing sensitive personal information should not be stored in logs unless explicitly approved and protected.
- AI outputs should store prompt version, model name, source document IDs, and timestamp for audit.
- If AI confidence is low or source evidence is insufficient, the result must be marked for human review.

11.2 Retention

Raw claim documents, extracted text, embeddings, AI outputs, and audit logs should follow the retention schedule defined by the insurer and applicable law. Derived data such as embeddings should be deleted or regenerated when the source document is deleted or corrected.

12. Sample Claim Scenarios

Scenario A: Collision with missing police report

A policyholder submits a collision claim after a hit-and-run incident. Photos and repair quote are provided, but no police report number is included. The claim should be marked `WAITING_FOR_CUSTOMER` because hit-and-run collision requires a police report.

Scenario B: Theft after keys left inside vehicle

A policyholder reports vehicle theft but states that the vehicle was left unlocked with keys in the centre console. This may trigger the unattended vehicle exclusion and requires senior review.

Scenario C: Hail damage

A policyholder submits photographs and repair quote after a hailstorm. If the policy was active and weather event timing is consistent, the claim may proceed to assessment. A police report is not required for hail damage.

Scenario D: Mechanical breakdown

A vehicle engine fails due to gradual wear. There is no accident or external cause. This is excluded as mechanical breakdown and should not be treated as accidental damage.

13. AI Copilot Test Questions

The following questions are designed for RAG and policy Q&A; testing.

- What documents are required for a theft claim?
- Is a police report required for hail damage?
- What is the standard excess?
- Can AI approve or reject a claim?
- What happens if the claim is submitted within 7 days of policy inception?
- Is mechanical breakdown covered?

- What is the hire car limit after theft?
- When should a claim be marked WAITING_FOR_CUSTOMER?
- Which security filters should retrieval apply?
- What are the privacy rules for AI prompt logging?

Appendix A: RAG Ground Truth Snippets

Ground Truth 1: Theft claims require a police report number, proof of keys, ownership documents, and a list of stolen personal items where applicable.

Ground Truth 2: Hail damage does not require a police report, but photographs, repair quote, and weather event confirmation may be used.

Ground Truth 3: The standard excess is AUD 750. Young driver and unlisted driver excesses may apply in addition.

Ground Truth 4: AI outputs are decision-support only. Final approval or rejection must be made by an authorized claim officer.

Ground Truth 5: All retrieval must be filtered by tenant ID, claim ID, and user authorization to prevent cross-tenant data leakage.